buy shares in a bond fund, which invests in a number of different bonds. You'll incur fund expenses that will decrease your net return, so bond funds are best if you'd rather pay a fee for broad diversification and professional management instead of choosing the bonds yourself.

Series EE U.S. Savings Bonds

U.S. savings bonds are fully backed by the U.S. government, free of state and local income taxes, and federal income tax deferred. Furthermore, if you use the bond to pay for qualified higher education costs the interest may be tax-free. You won't get rich buying U.S. savings bonds, but neither will you lose your shirt. Bonds issued by the U.S. government are considered to be the safest bonds available. The assumption is that the U.S. government will not go out of business and fail to pay as agreed. Some bonds may fluctuate in price, but principal and interest payments are guaranteed.

There are several different types of U.S. savings bonds. You purchase Series EE Bonds at face value (a $50 bond costs $50) in amounts of $25 or more, to the penny. The interest rate is fixed and is based on the yield on ten-year U.S. Treasury securities. As of January 1, 2012, Series EE U.S. Savings Bonds are only available on the Internet at *www.treasurydirect.gov*.

Series I U.S. Savings Bonds

I Bonds are similar to EE Bonds. The interest is paid when the bond is redeemed and you can purchase up to $10,000 of I Bonds in a year. Your return is based on two factors: a fixed rate (set when you purchase the bond) and an inflation rate. If inflation is high, the interest you earn during that period will be higher. Likewise, as inflation decreases the interest you earn decreases.

U.S. Treasury Securities

Unlike U.S. savings bonds, U.S. Treasury securities (bills, notes, and bonds) can be transferred from one person to another, so you can buy and sell them in the securities market. They provide steady income, flexibility, and security. Treasury bills (or T-bills) mature ninety days to one year from